

THE WALL STREET JOURNAL.

What's News

Business & Finance

- ◆ **Four major automakers** are racing to find workarounds to China's stranglehold on rare-earth magnets, which they fear could force them to shut down some car production within weeks. **A1**
- ◆ **Some economists** are beginning to question the accuracy of recent U.S. inflation data after the federal government said staffing shortages hampered its ability to conduct a massive monthly survey. **A2**
- ◆ **Major U.S. stock indexes** ended mixed, with the S&P 500 gaining less than 0.1%, the Nasdaq rising 0.3% and the Dow slipping 0.2%. **B11**
- ◆ **Boeing will pay \$11 billion** to avoid prosecution for crashes of its 737 MAX jets in 2018 and 2019 under an agreement with the Justice Department. **B1**
- ◆ **Reddit sued Anthropic** for using its data without a licensing agreement, a new front in the battle over how AI companies train their models. **B1**
- ◆ **Meta Platforms** is courting Hollywood in search of exclusive content for a premium virtual-reality headset it plans to release next year. **B1**
- ◆ **A Bill Gates-backed** geothermal-energy producer said it can help satisfy power-thirsty industries, but at a speed dependent in part on the survival of tax credits whose extension is now in doubt. **B1**
- ◆ **Chart and Flowserve**, which supply industrial-process technologies, agreed to an all-stock merger valued at about \$19 billion. **B1**
- ◆ **Kimberly-Clark** is nearing a sale of its Kleenex and tissue businesses outside of North America to Suzano for around \$3.5 billion. **B2**

World-Wide

- ◆ **The Trump administration** is redirecting a key antidrone technology earmarked for Ukraine to American forces, a move that reflects the Pentagon's waning commitment to Kyiv's defense. **A1**
- ◆ **Trump said Putin told** him that he would respond to Ukraine's recent attack, damping the prospects for immediate peace between Russia and Ukraine. **A8**
- ◆ **Trump ordered** an investigation into Biden's actions as president, including his use of an autopen, alleging his predecessor's aides hid evidence of what he called Biden's "serious cognitive decline." **A4**
- ◆ **The tax-and-spending** megabill as now written would increase budget deficits by \$2.4 trillion over 10 years, a Congressional Budget Office estimate calculated. **A4**
- ◆ **Harvard was suspended** from participating in the student visa program, effectively preventing foreign nationals from attending the nation's oldest university. **A3**
- ◆ **The Trump administration** attacked Columbia University's accreditation, arguing it is in violation of federal antidiscrimination laws. **A3**
- ◆ **The president signed** a sweeping travel ban on 12 countries, largely in the Middle East and Africa, and introduced more-limited travel restrictions on seven others. **A2**
- ◆ **A federal judge in Colorado** blocked the deportation of the family of the man accused in Sunday's incendiary attack in Boulder, Colo. **A3**
- ◆ **Died: Edmund White, 85**, a pioneering gay writer. **A6**

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On Tiananmen Anniversary, China Cracks Down



PETER PARKS/AGENCE FRANCE PRESSE/GETTY IMAGES

HISTORY'S MOMENT: Police in Hong Kong questioned a woman holding a flower Wednesday, part of tight security there on the 36th anniversary of China's deadly suppression of pro-democracy protests in Beijing's Tiananmen Square. **A9**

Spycraft, Homegrown Weapons Powered Kyiv's Surprise Attack

KYIV, Ukraine—The spectacular drone attack on Russia's strategic bomber fleet on Sunday began with a daunting request from Ukraine's president to his spy chief in late fall 2023.

By *James Marson, Jane Lytvynenko, Brenna T. Smith and Serhii Bosak*

The Russian Air Force was pummeling Ukraine's power stations and cities with missiles, overwhelming meager air defenses, and Volodymyr

Zelensky wanted to know: How can we fight back?

Lt. Gen. Vasyl Maliuk, a 42-year-old career security officer with broad shoulders and a stern mien, has earned a reputation for innovative operations with explosive naval and aerial drones that forced Russia to withdraw much of its Black Sea Fleet from its base in occupied Crimea and damaged dozens of oil plants and military-production facilities deep inside Russia.

But the task was formidable. The strategic bombers

that launched many of Russia's most powerful missiles operate from beyond the range of Ukraine's air-defense systems and were based at airfields as much as 3,000 miles from Ukraine. Ukraine's SBU security service, which Maliuk heads, has deployed long-range aerial drones, but they are vulnerable to Russian air defenses, including missile interceptors and jammers.

What Maliuk and his team came up with shocked the world Sunday with its audacity. The agency smuggled Ukrai-

nian drone parts into Russia and assembled them at a secret location. SBU operatives inside Russia used unwitting truck drivers to deliver a modern version of the Trojan horse by concealing the drones in the roofs of wooden containers. On Sunday, the roofs—activated remotely—slid open on trucks close to the Russian air bases, releasing dozens of drones and adding a dash of Transformers to old-school spycraft.

More than 100 quadcopters—small drones with four

U.S. Set To Shift Antidrone Tech From Ukraine

Pentagon's plan to use fuzes in Mideast reflects further turn from Kyiv's defense

By **MICHAEL R. GORDON**

WASHINGTON—The Trump administration is redirecting a key antidrone technology earmarked for Ukraine to U.S. forces, a move that reflects the Pentagon's waning commitment to Kyiv's defense.

The Pentagon quietly notified Congress last week that special fuzes for rockets that Ukraine uses to shoot down Russian drones are now being allocated to U.S. Air Force units in the Middle East.

The move comes as President Trump said on Wednesday that President Vladimir Putin of Russia told him in a phone call he would have to respond forcefully to recent Ukrainian attacks, damping the prospects for a halt in the war that began in early 2022.

Defense Secretary Pete Hegseth skipped a meeting on Wednesday at North Atlantic Treaty Organization headquarters with European defense ministers on coordinating military aid to Ukraine. Hegseth has warned that European allies must provide the overwhelming share of future military assistance to Kyiv while casting the western Pacific as the Pentagon's "priority theater."

The defense chief went further in an internal memo in May. In it, he authorized the Joint Rapid Acquisition Cell, a Pentagon office that ensures commanders' weapons needs are met, to provide the fuzes to the U.S. Air Force, even

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◆ **Trump says Putin will respond to attacks..... A8**

Carmakers Scramble To Avoid Shortage Of Magnets

By **SEAN McLAIN AND RYAN FELTON**

Four major automakers are racing to find workarounds to China's stranglehold on rare-earth magnets, which they fear could force them to shut down some car production within weeks.

Several traditional and electric-vehicle makers—and their suppliers—are considering shifting some auto-parts manufacturing to China to avoid looming factory shutdowns, people familiar with the situation said.

Ideas under review include producing electric motors in Chinese factories or shipping made-in-America motors to China to have magnets installed. Moving production to China as a way to get around the export controls on rare-earth magnets could work because the restrictions only cover magnets, not finished parts, the people said.

If automakers end up shifting some production to China, it would amount to a remarkable outcome from a trade war initiated by President Trump with the intention of bringing manufacturing back to the U.S.

"If you want to export a magnet [from China] they won't let you do that. If you can demonstrate that the magnet is in a motor in China, you can do that," a supply-chain manager at one of the carmakers said.

China began requiring com-

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INSIDE



PERSONAL JOURNAL
\$500 a night at the airport? Luxury hotels for fliers are having their moment. **A11**

SPORTS

The billion-dollar sports business that got dragged into an FBI investigation. **A14**

Canada's New Favorite Team Plays Basketball in Oklahoma

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Thunder stars have a hockey-mad nation taking its eyes off the Stanley Cup

By **ROBERT O'CONNELL**

When the Stanley Cup Finals begin on Wednesday night, fans across Canada will rally around the Edmonton Oilers as they try to become the first team from the country to win the trophy since 1993.

Puckheads in the hockey-mad nation will gather in pubs, in houses and in public squares—wherever there's a TV showing the game and enough Labatt's to go around.

But from Halifax to Saskatchewan, a smaller but no less devoted group of die-

hards will be breathlessly awaiting a sporting event that features no sticks, not a single skate, and nary a drop of frozen water.

They'll be living and dying with a basketball team that plays a thousand miles south of the border.

As the Oklahoma City Thunder chase their first NBA championship starting Thursday, they have an unlikely band of supporters: basketball obsessives from Canada who have adopted the faraway team as their own.

And in Canada, loving a

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A Conservative Survives Getting Dumped by Trump

Leonard Leo has more than \$1 billion to back Hollywood blockbusters that shield viewers from progressive ideas

"House of David," a retelling of the biblical shepherd's unlikely rise, capped season one with the future king's epic takedown of Goliath and started April in Amazon's top streaming spot.

By *Maggie Severns, Josh Dawsey and John Jurgensen*

David's surprise triumph was also Leonard Leo's. The conservative lawyer and co-chairman of the Federalist Society has been secretly helping bankroll Wonder Project, a Texas-based studio that produced the popular series and, Leo hopes, will follow with a string of Christian- and conservative-leaning shows so slick they can go head-to-head

with other big-budget entertainment.

Armed with a \$1.6 billion gift from a Chicago industrialist, believed to be one of the largest single contribution to any politically active group in U.S. history, Leo wants to make America's culture more conservative. That might sound as quixotic as killing a giant with a sling and a small stone.

But Leo, unbounded by the pressures of re-election or dependence on outside money, is a rare conservative, who, after being cast out of Trump's inner circle, remains free to pursue his own vision of what will make America great again, leveraging the soft power of mass entertainment and the hard power of the courts.

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President Loses Patience With a Rebellious Musk

WASHINGTON—President Trump is losing patience with Elon Musk after the billionaire attacked Republicans' sprawling tax-and-spending bill. Musk is irked about Trump's

By *Brian Schwartz, Natalie Andrews and Olivia Beavers*

decision to withdraw the nomination of a key ally to lead the National Aeronautics and Space Administration.

The result is a fraying relationship between two of the world's most powerful men.

A senior White House official said Trump wasn't happy about Musk's decision to lambaste his signature legislation, describing the president as

confused as to why the Tesla chief executive decided to ratchet up his criticism after working so closely with the president for four months. The official said senior Trump advisers were caught off guard by Musk's latest offensive.

The uneasy alliance between the two men was also strained by a recent move by the White House to pull Trump's nominee to run NASA, Jared Isaacman, according to people familiar with the matter. Musk, a close ally of Isaacman, had advocated for him to get the job.

The decision infuriated

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◆ **Megabill's toll on deficit: \$2.4 trillion..... A4**